# Keynesian Economics

Keynesian economics is a macroeconomic theory developed by the British economist John Maynard Keynes. His landmark book "The General Theory of Employment, Interest and Money" was published in February 1936 by Macmillan in London, during the Great Depression.

Keynes argued that aggregate demand — the total spending in an economy — is the primary driver of economic activity and employment in the short run. He challenged the classical view that markets always clear, arguing that inadequate demand could cause prolonged unemployment.

The theory was hugely influential on postwar economic policy, particularly in the United States after the Employment Act of 1946. Key American Keynesians included Alvin Hansen at Harvard, Paul Samuelson at MIT, and Joan Robinson at Cambridge.

The Keynesian consensus broke down in the 1970s due to stagflation — the combination of high inflation and high unemployment that simple Keynesian models predicted was impossible. Milton Friedman at the University of Chicago led the monetarist critique. Robert Lucas and Thomas Sargent developed the rational expectations critique, which became New Classical economics.

Keynesian ideas were revived after the 2008 financial crisis. Christina Romer, chair of President Obama's Council of Economic Advisers, advocated a fiscal stimulus package that became the American Recovery and Reinvestment Act of 2009.